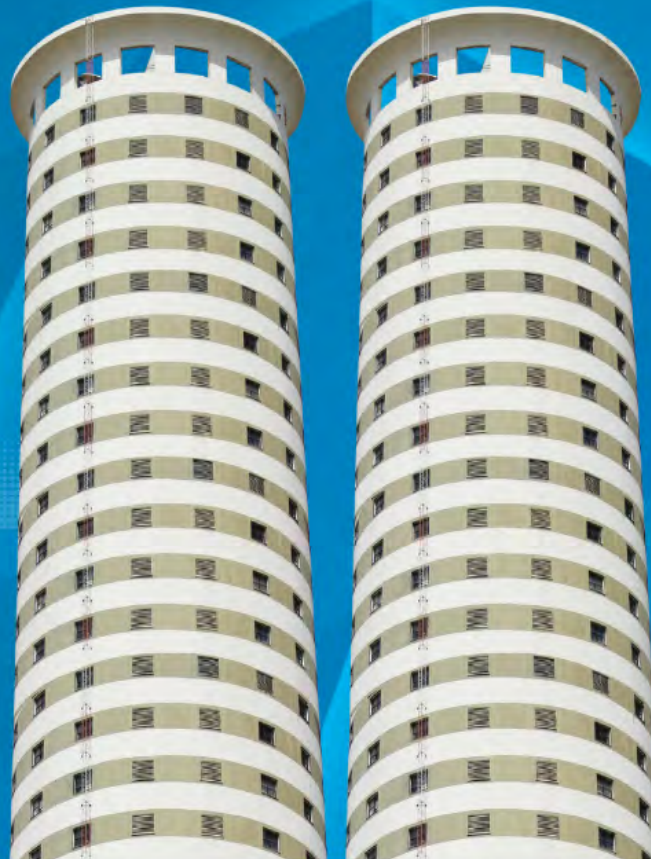




Nation Media Group

Media of Africa for Africa



**2014 RESULTS
INVESTOR BRIEFING
23RD MARCH 2015**

AGENDA

- 2014 Highlights
- Divisional Updates
- 2014 Group Results
- Q&A



2014 Highlights

The EastAfrican

20
YEARS

OF UNDERSTANDING THE REGION



Issue No. 1 on 7th November



The EastAfrican

JANUARY 14-20, 2004

ISSUE NO. 3010

NO. 3010

Kufuor's whistle-stop diplomacy was only to pave way for Annan

WHEELS WITHIN WHEELS: At the height of the violence, World Bank director Colin Bruce offered freelance secret mediation between Kibaki and Raila

By JACQUES KIZUBO

The Observer

Chairman of the African Union

Grand President of Ghana talks

Kenya had steady state



Last chance

The EastAfrican

JANUARY 14-20, 2004

ISSUE NO. 3010

NO. 3010

The Journey!

CYCLE OF CONFLICT

Spectre of war returns to haunt region

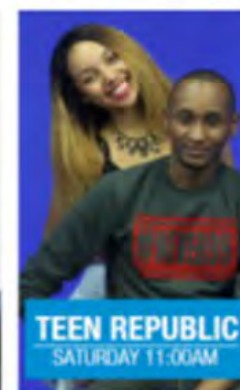
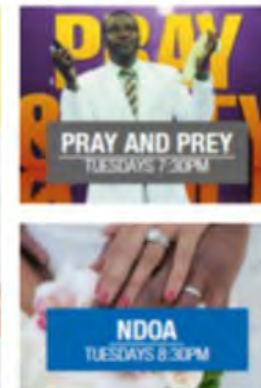
Year ends with South Sudan, DRC Congo and Central African



Press Hall Superstructure Columns



NTV Programming





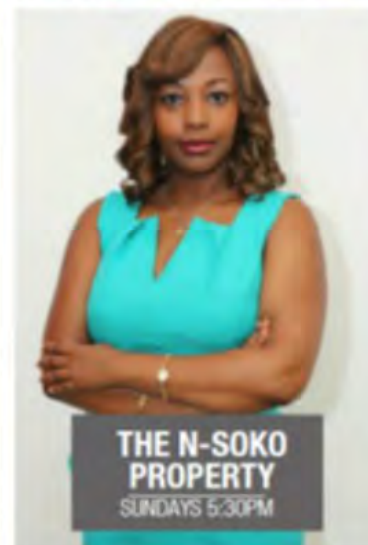
**CATCH KENYA'S BIGGEST
STARS ON KENYA'S
BIGGEST TV STATION**



DISCOVERY +254
SATURDAYS 8:00PM



CROSS OVER 101
SUNDAYS 11:00AM



**THE N-SOKO
PROPERTY**
SUNDAYS 5:30PM



CHURCHILL SHOW
SUNDAYS 8:00PM

Investigative Journalism



QTV Programming

**Sisimka kutoka
macheo hadi
magharibi.**



Waremba Salen

Jumatano
7:00 pm



**Mr. Speaker
Sir**

Jumatano
7:30 pm



Mchungaji

Jumatatu
7:30 pm



Chee Live

Jumatatu-Jumaa
6:00 am



Swala Nyeti

Alhamisi
9:10 pm



Mwana Spoti

Jumamosi
2:00 pm



Wrestling

Jumatatu, Jumanne
& Alhamisi
7:30 pm



**Dunia Ina
Mambo**

Jumatatu-Jumaa
9:00 pm



**Mkulima
Ni ujuzi**

Jumamosi
6:00 pm



A promotional poster for QTV. It features a large, stylized orange letter 'Q' with a white outline. Inside the 'Q' are three people: a man in a dark suit and orange tie standing on the left, a man in a red patterned shirt and black pants sitting on a stool in the center, and a woman in a red dress standing on the right. The background is blue with a white border. At the bottom, there is a blue banner with orange text and the QTV logo.

**Twakufahamisha.
Twakueleza.
Twakuburudisha.**

A promotional poster for QTV. It features a large, stylized orange letter 'Q' with a white outline. Inside the 'Q' are two men in suits: one in a dark suit with an orange tie and the other in a grey suit with a red and white striped tie. The background is blue with a white border. At the bottom, there is a blue banner with orange text and the QTV logo.

**Twakufahamisha.
Twakueleza.**



Mbarara staff members painting a zebra crossing and making a difference during the #BETHEDIFFERENCECAMPAIGN



TV on the go



Lake Zone Launch



the east african
business summit



www.eabsummit.com @eabs2014

Conveners



Deloitte



TOP CEO'S OF EAST AFRICA GATHER IN KIGALI ON 16 - 17 OCTOBER

EXCLUSIVE INVITE ONLY

KEYNOTE SPEAKERS



H.E. PAUL KAGAME

President of the Republic of Rwanda



H.E. UHURU KENYATTA

President of the Republic of Kenya

Platinum Sponsors



Gold Sponsor



Silver Sponsors



Bronze Sponsors



Nation Media Group
Media of Africa for Africa

THE GOVERNORS' SUMMIT 2015



**THEME: GOVERNANCE
THROUGH INCLUSIVITY**

26TH & 27TH FEBRUARY

The summit brings together Kenya's 47 Governors
to interact with leading thinkers and practitioners in
the field of governance.



Convener - Nation Media Group
GCEO - Linus Gitahi



KEYNOTE SPEAKER
His Excellency President John Kufuor
(Former Head of State, Ghana)



Host- Council of Governors
H.E Governor - Isaac Ruto

PLATINUM SPONSOR



GOLD SPONSOR



BRONZE SPONSOR



live.co.ke/live





Divisional Updates

NATION NEWSPAPERS DIVISION

Total Revenue



Direct Costs



Operating Profit



THE EASTAFRICAN

Total Revenue



7%

RWANDA TODAY

JUNE 4-10, 2012 www.rwandatoday.co.rw No. 001 The national newspaper brought to you by The EastAfrican

Operating Profit



7%



BUSINESS DAILY

**Total
Revenue**



10%

**Operating
Profit**



85%

**The Next
Big Thing**



KENYA
TOP 100
MID-SIZED COMPANIES
BUSINESS DAILY



MONITOR PUBLICATIONS

Revenue



Operating Profit



Direct Costs



MWANANCHI COMMUNICATIONS

Total Revenue



4%

Direct Costs



32%

Operating Profit



25%

Process
improvement &
automation



Television Kenya

Advertising Revenue



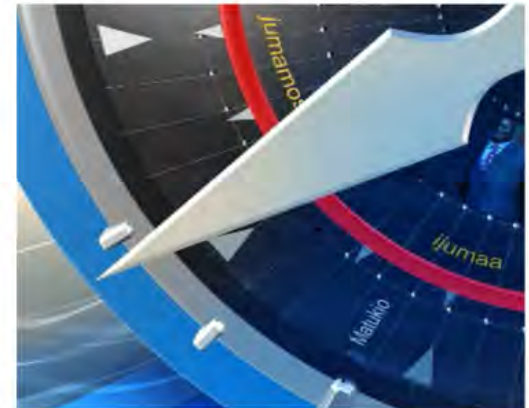
23%



Operating Profit



1,754%



NTV UGANDA

Advertising
Revenue



Direct
Costs



Operating
Profit



Radio



Revenues



18%

Operating Profit



57%

NATION DIGITAL

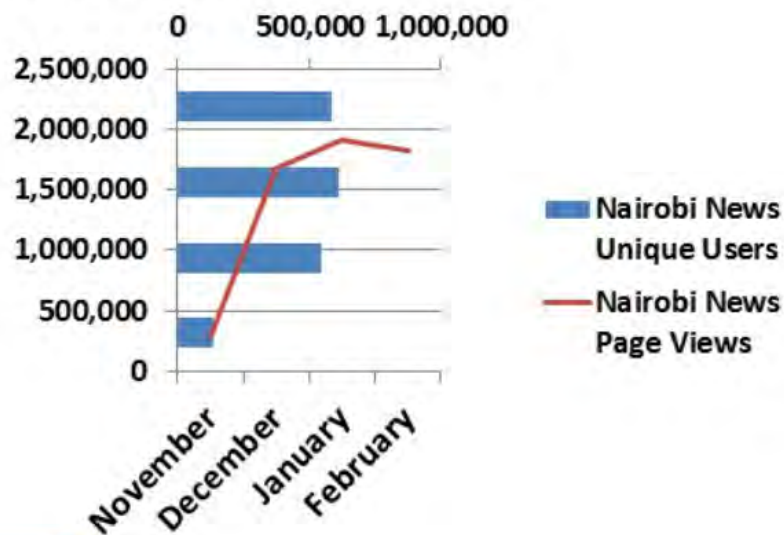
Daily Nation - Nation.co.ke



Businessdailyafrica.com



Nairobi News



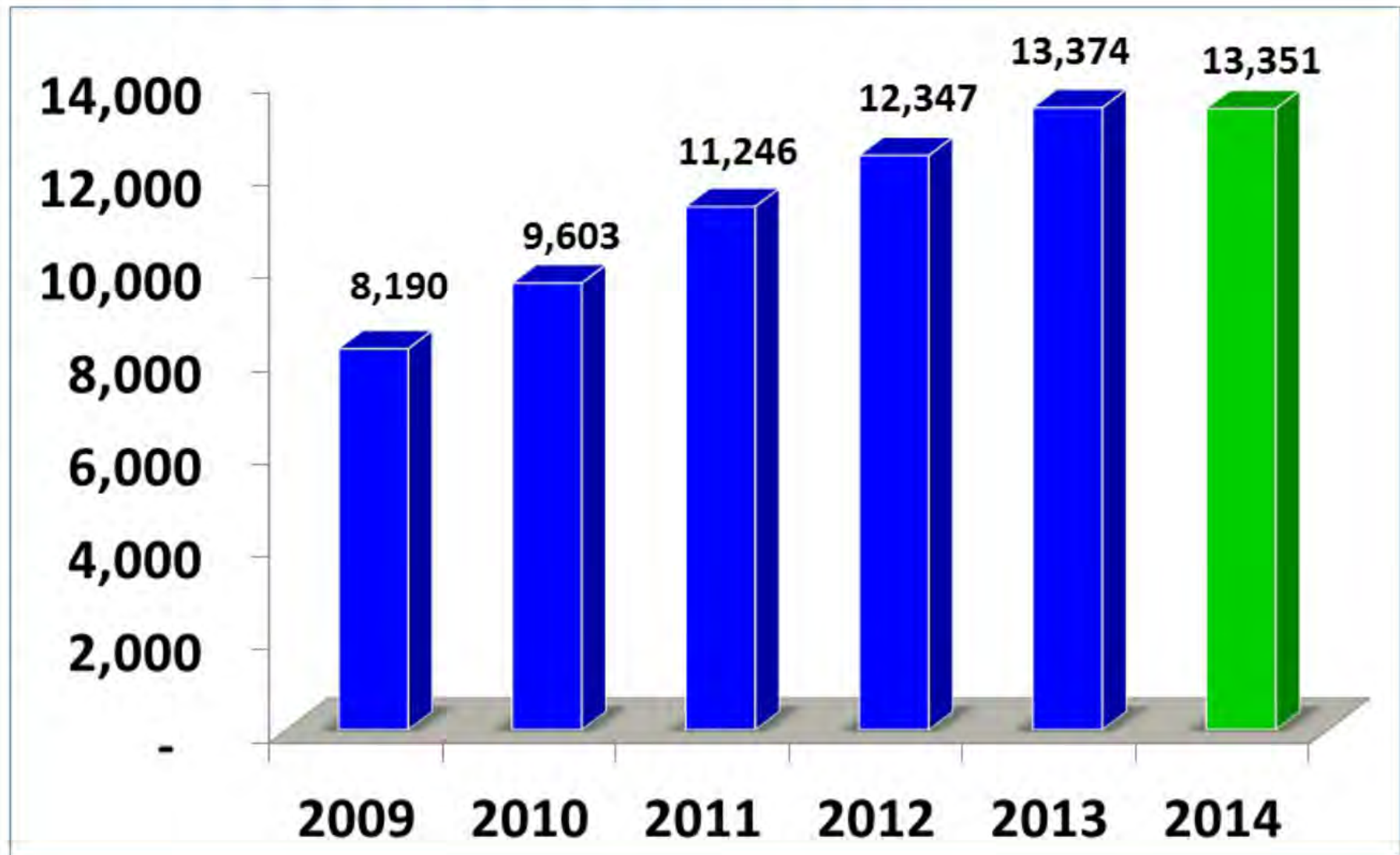
theeastafrican.co.ke



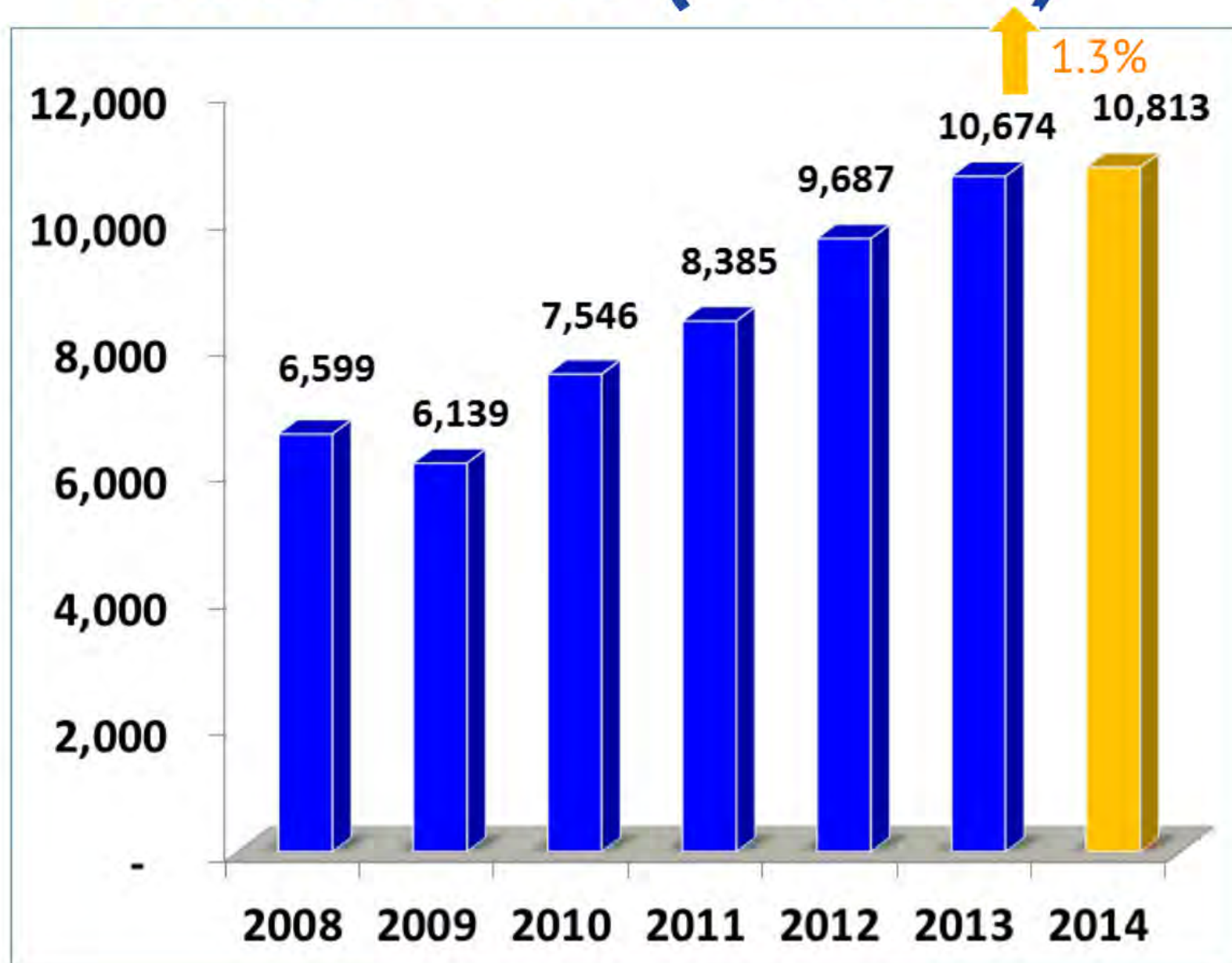
Group Results



Turnover Trend (Kshs M)



Gross Profit (Kshs M)



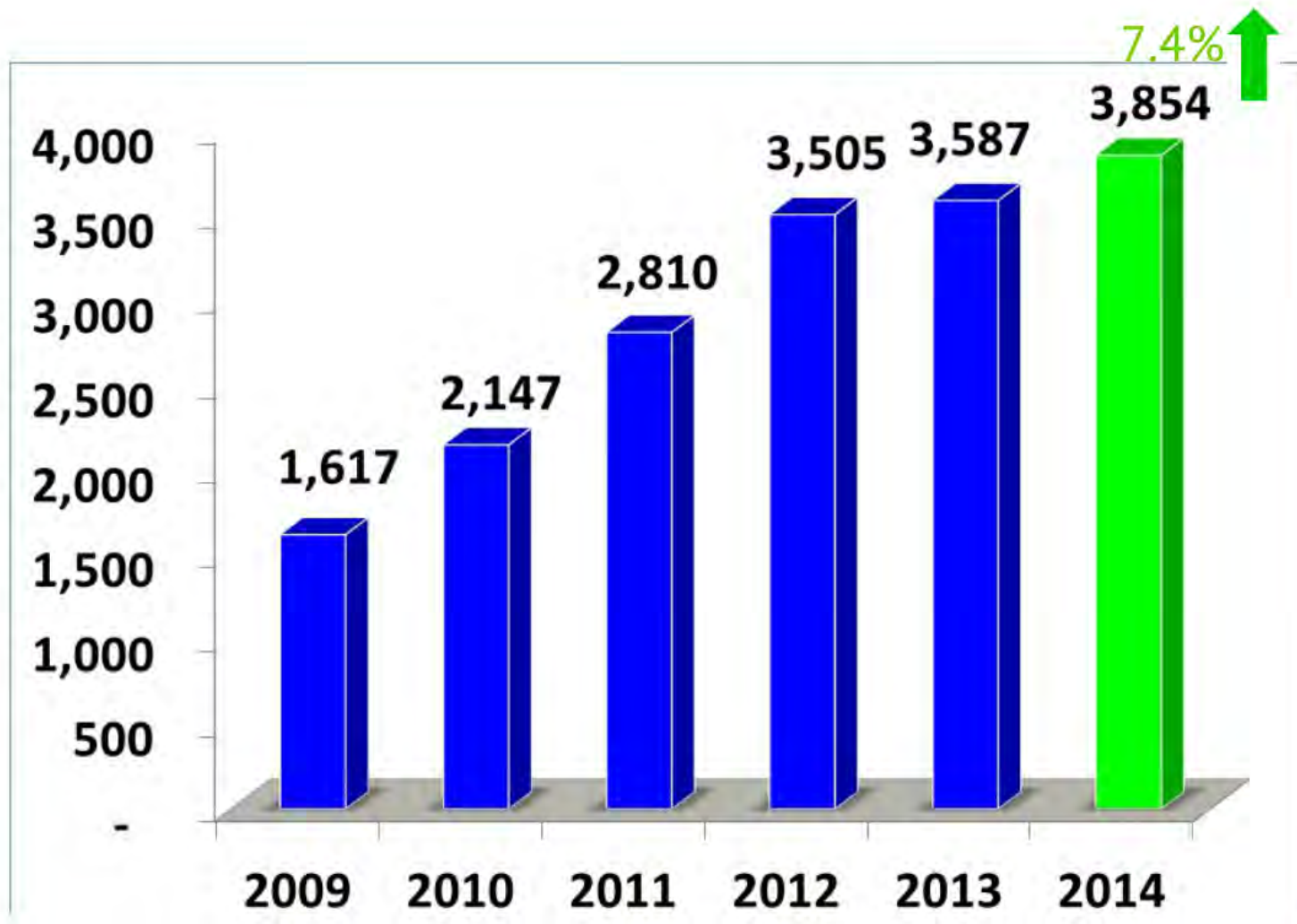
Profit & Loss Statement (Kshs M)

	2013	2014	% Change
Turnover	13,373.7	13,351.3	(0.2)
Cost of Sales	(2,699.4)	(2,538.7)	6.0
Gross Profit	10,674.3	10,812.6	1.3
Operating Expenses	(7,435.7)	(7,459.2)	(0.3)
Other Income	348.5	500.6	43.6
Operating Profit	3,587.1	3,854.0	7.4
Exceptional Items		(230.0)	(100.0)
Profit Before Tax	3,587.1	3,624.0	1.0
Income Tax	(1,053.9)	(1,163.5)	(10.4)
Profit After Tax	2,533.2	2,460.5	(2.9)

Exceptional Items 2014

- Accelerated depreciation on old printing press plus spares write off- Kshs 179m
- Accelerated depreciation on analogue assets- Kshs 51m
- In total Kshs 230m

Operating Profit (Kshs M)



Condensed Cash Flow Statement (Kshs M)

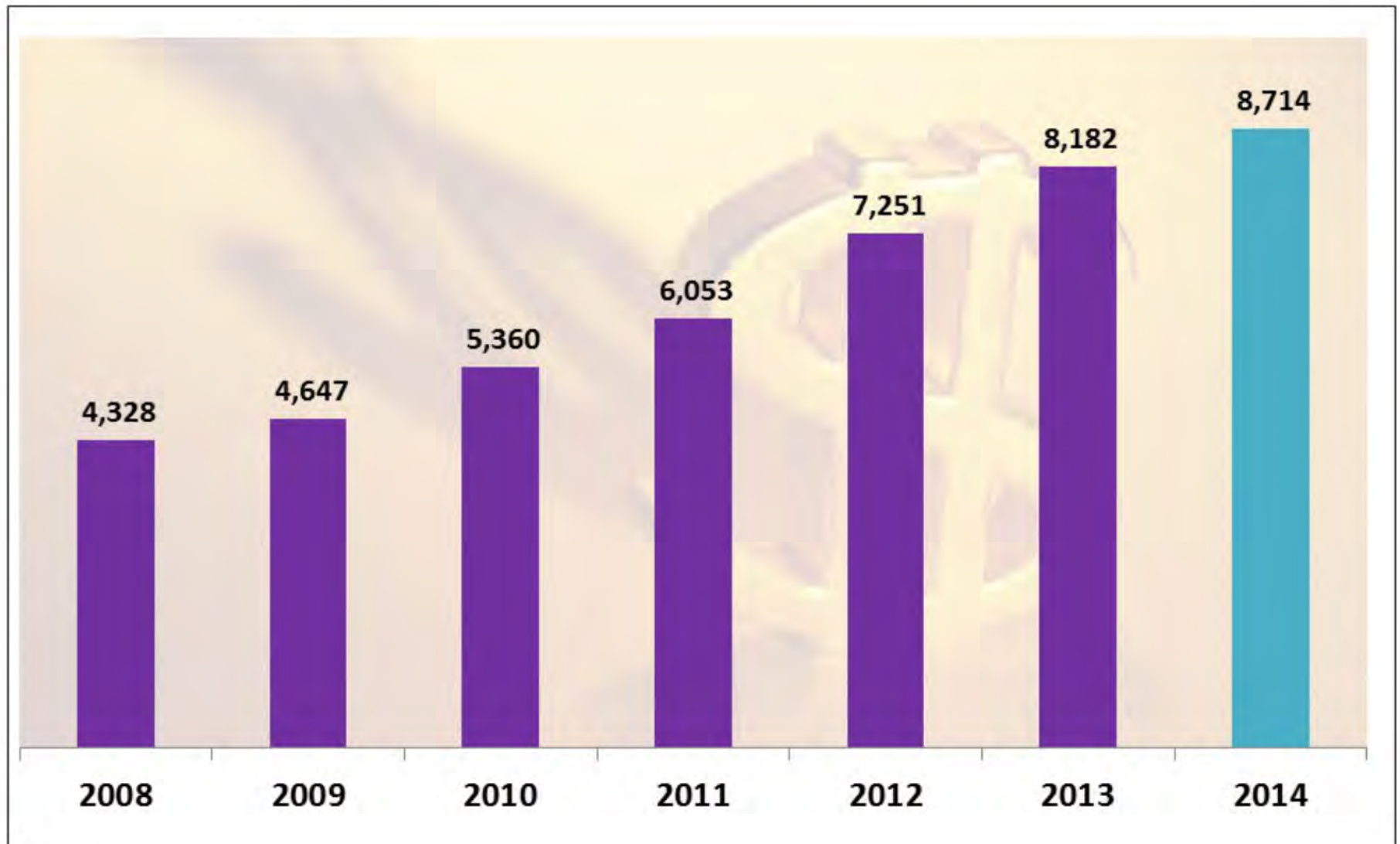
	2013	2014
Cash generated from operations	3,402.3	3,566.1
Interest received	280.8	299.0
Interest paid	(15.3)	(11.6)
Tax paid	(1,422.9)	(1,331.2)
Net cash from operating activities	2,244.9	2,522.3
Net cash used in investing activities	(443.3)	(991.2)
Net cash used in financing activities	(1,723.9)	(1,885.0)
Increase in cash and cash equivalents	77.7	(353.9)
At start of period	3,728.0	3,805.7
At end of period	3,805.7	3,451.8

Consolidated Statement of Financial Position (Kshs M)

	2013	2014
Capital and Reserves		
Share Capital	471.4	471.4
Other reserves	119.2	63.3
Retained earnings	6,176.9	6,765.4
Proposed dividends	1,414.1	1,414.1
Minority interest	61.8	53.9
Total equity	8,243.4	8,768.1
Non-Current Liabilities	84.4	57.9
Total Equity and Non-Current Liabilities	8,327.8	8,826.0
Assets		
Non-Current Assets	3,877.9	4,569.4
Working Capital		
Current Assets	7,566.3	7,374.9
Current Liabilities	3,116.4	3,118.3
Net Working Capital	4,449.9	4,256.6
Total Assets	8,327.8	8,826.0

6% Growth

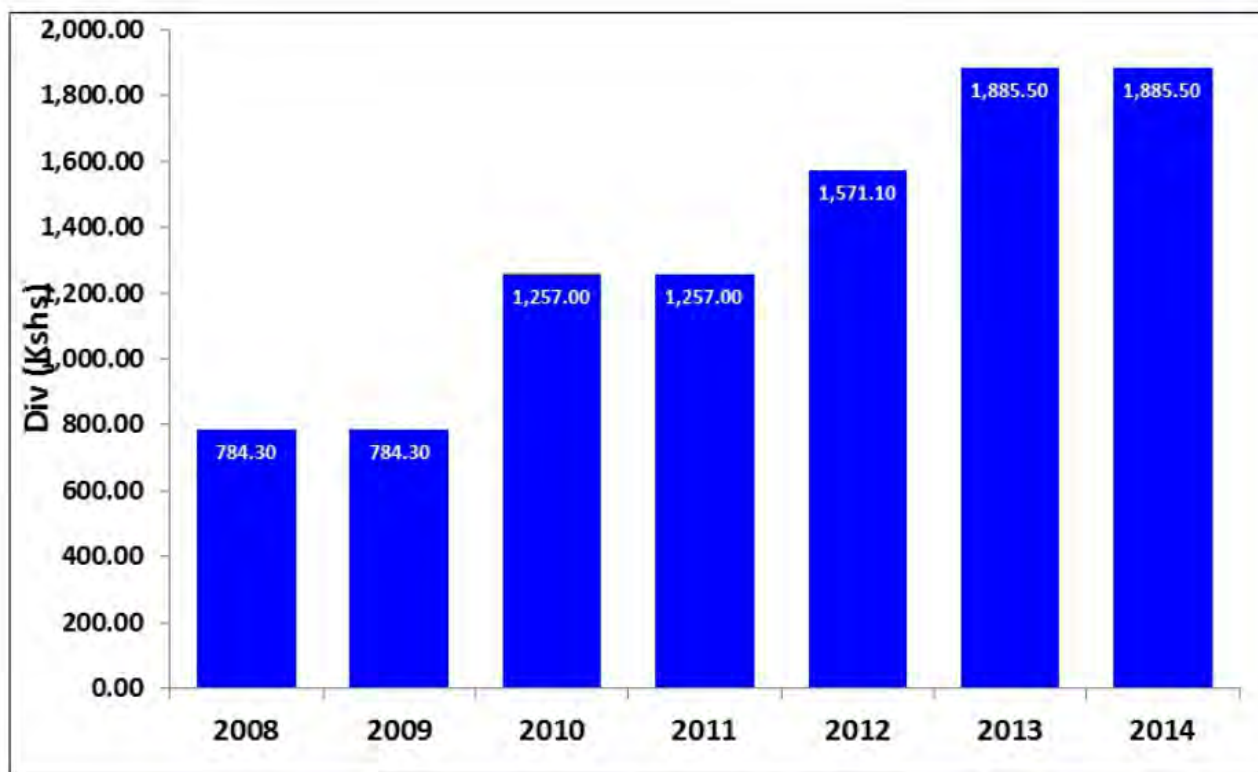
Shareholders Funds (Kshs M)



Dividends



Dividend Trend (Kshs M)



Dividend per share Kshs

2008	2009	2010	2011	2012	2013	2014
5.50	5.50	8.00	8.00	10.00	10.00	10.00

2015 Updates

- Digital Migration status
- Broadcasting signal distribution infrastructure-ADNL
- The EastAfrican Tanzania

Thank You

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www.nationmedia.com